



THE KEY PILLARS OF MARUTI'S REINVENTION

- ▶ **The Indian market is very different from the market in Europe, the US or Japan. Maruti Suzuki India (MSI) wants to develop an India-specific decarbonisation strategy, which will include a mix of fuel technologies including hybrid, CNG, EV and even biofuel**
- ▶ **For Suzuki, hybrid vehicles account for nearly 24 per cent of its global sales. India is the only big market where hybrid sales are as low as 8.9 per cent. It is hoping to replicate its success of 74.9 per cent hybrid penetration in Europe in the Indian market on the back of new launches**
- ▶ **Another key pillar for Maruti is CNG technology where it already has around 82 per cent share in India. The company is looking to produce 450,000-500,000 CNG vehicles in FY23 amid growing consumer preference triggered by a sharp increase in petrol and diesel prices**
- ▶ **Suzuki Motor Corporation's wholly owned subsidiary Suzuki Motor Gujarat (SMG) has announced an investment of ₹7,300 crore for the construction of a battery plant near SMG's automobile manufacturing unit by 2026. SMG will also invest another ₹3,100 crore for ramping up production capacity for electric vehicles by 2025. They envision India as a strategic export hub for Suzuki's electric vehicles globally**
- ▶ **Maruti is planning a line-up of mid-size and entry-level SUVs to fill a gap in those segments and compete better in the marketplace**
- ▶ **These factors, the company believes, will help gradually increase its passenger vehicles market share in India to close to 50 per cent**

450,000-500,000 CNG vehicles in FY23 amid growing consumer preference triggered by a sharp increase in diesel and petrol prices. Cost per km for a CNG vehicle is ₹1.80 while for a petrol/diesel car, it's around ₹5.20.

Vinkesh Gulati, President of Federation of Automobile Dealers Associations (FADA), says all other players are following Maruti in CNG. "Hyundai has already started. Tata is also doing it. CNG is here to stay because now there are no issues of CNG pumps even in small districts. The kind of customer interest we're seeing is very strong and it's very economical as compared to ICE (internal combustion engine) vehicles," he says. Tata Motors recently launched two new CNG cars, the Tata Tigor iCNG and Tiago iCNG in India, while Hyundai sells three CNG models: Santro, Grand i10 Nios and Aura.

WHILE MARUTI DOMINATES in CNG, its first electric vehicle will come only in 2025, even as competition is aggressively launching them already. Tata Motors already corners around 82 per cent of the EV market, with its popular Nexon and Tigor models. Mahindra & Mahindra (M&M), too, is making its moves. In May 2021, it approved the merger of EV subsidiary Mahindra Electric Mobility Limited (MEML) with the parent company to consolidate operations, development, sourcing and manufacturing of EVs. The company has set aside ₹3,000 crore for its EVs, eight of which will be launched by 2027.

Bhargava, however, feels it would take EVs a long time to become a mass market product, especially in Bharat. Last year, the country sold around 17,000 electric cars, which is hardly half a per cent of the total 3 million cars sold in India. "My view is that electric cars will have a limited and slowly increasing impact on the car market in India. It cannot have a significant improvement in CO₂ [emissions] in the next five to eight years. We're urging the government to look at alternatives like hybrid or CNG; even bio gas is a great resource. But we seem to be fixated on EVs," he says, adding that EVs are not affordable or accessible at current penetration levels, especially for Bharat. "Small car owners don't have a garage or a house to charge it every day. Where does a guy who has parked on the roadside charge his car and how?"

But that doesn't mean the company is not gearing up for the future technology. Suzuki's wholly owned subsidiary Suzuki Motor Gujarat (SMG) has announced an investment of ₹7,300 crore for the construction of a battery plant near SMG's automobile manufacturing unit by 2026. SMG will also invest